

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-22

GITI TIRE (USA) LTD.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

VERIFIED ANSWER AND AFFIRMATIVE DEFENSES

COMES NOW, Respondent, Flexport International LLC, by and through its undersigned counsel and files this, its Verified Answer to the Amended Complaint and Affirmative Defenses and states as follows:

I. COMPLAINANT

1. Giti Tire (USA) Ltd. is a Delaware corporation with its principal place of business located at 10404 6th Street Rancho Cucamonga, CA 91730.

Response: Flexport is without knowledge of the allegations and therefore denies same.

II. RESPONDENT

2. Flexport International LLC is a Delaware limited liability company, with a principal office located at 760 Market Street, 8th Floor, San Francisco, CA 94102.

Response: Admit.

3. Flexport is and was at all times pertinent to this Complaint a non-vessel-operating common carrier (“NVOCC”) within the meaning of the Shipping Act, 46 U.S.C. § 40102(17), subject to regulation by the Federal Maritime Commission (“FMC”). Flexport is a licensed NVOCC under the FMC and its License Number is 025219.

Response: Flexport admits that it is a licensed NVOCC, with License Number 025219 and is subject as an NVOCC to the regulations of the Federal Maritime Commission. Flexport denies that all services it was alleged to have provided were provided in its capacity as an NVOCC and would be subject to the FMC’s jurisdiction for such services.

III. JURISDICTION AND LEGAL AUTHORITY

4. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act.

Response: Denied.

5. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301(a). Giti is seeking reparations for injuries caused to it by Flexport due to its violation of 46 U.S.C. § 41102 and 46 U.S.C. § 41104.

Response: Admit insofar as the allegations speak for themselves. Otherwise denied.

6. The FMC has personal jurisdiction over Flexport as a NVOCC as defined in 46 U.S.C. § 40102(17).

Response: Admit insofar as the FMC has jurisdiction over Flexport in its capacity as an NVOCC for such services. Otherwise denied.

7. Flexport’s actions constitute a failure by the Flexport to meet the minimum requirements on detention and demurrage invoices sent to Giti in violation of 46 U.S.C. §

41104(a)(15), 46 U.S.C. § 41104(a)(14) and 46 U.S.C. § 41104(d).

Response: Denied.

8. Flexport's actions also are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c) by invoicing demurrage and detention charges for weekend and holiday days during which the port or terminal was not available for return of containers.

Response: Denied.

9. Flexport's actions also are unjust and unreasonable in violation of the requirements of 46 U.S.C. §41102(c), 46 U.S.C. § 41104(a)(15), 46 C.F.R. § 545.4, and 46 CFR § 545.5 by invoicing for unreasonable charges and utilizing unreasonable practices.

Response: Denied.

IV. FACTUAL ALLEGATIONS

10. In the regular course of its business, Giti shipped cargo from overseas ports to the United States. Giti entered into agreements with Flexport whereby Flexport, acting as NVOCC, would ship containers from an overseas port to a destination designated by Giti. The large majority of these shipments came into the United States ports of Long Beach, Los Angeles, and Savannah

Response: Admit that Flexport, in its capacity as an NVOCC, arranged for the transportation of shipments of cargo on behalf of Giti to the ports of Long Beach, California, Los Angeles, California and Savannah Georgia. All other allegations are denied.

11. During the period between 2022 and 2023, Flexport shipped a substantial number of containers for Giti.

Response: Admit that Flexport, in its capacity as an NVOCC, arranged for the transportation of shipments of cargo on behalf of Giti to the ports of Long Beach, California,

Los Angeles, California and Savannah Georgia. All other allegations are denied.

12. For each shipment Flexport issued house bills of lading containing the terms of the shipments. These bills of lading were the genesis of the invoices issued to Giti for the associated charges. These invoices contained the freight charges for the ocean carriage of the containers. The invoices also contained millions of dollars in charges for demurrage, detention, storage, and other accessorial charges.

Response: Admit that Flexport, in its capacity as an NVOCC, issued house bills of lading for the shipments of cargo arranged on behalf of Giti. All other allegations are denied. Specifically, but without limitation, the “terms of the shipments” were set forth in the bills of lading and Negotiated Rate Arrangements (“NRAs”) issued for each shipment, which incorporated Flexport’s published Rules tariff which is publicly available.

13. Each of the invoices issued by Flexport to Giti relate to or are connected with receiving, handling, storing, or delivering property.

Response: Admit.

14. Flexport’s practices and invoices wrongfully and unreasonably required Giti to pay millions of dollars in unreasonable demurrage and detention charges, as well as millions of dollars of other accessorial charges at unreasonable rates.

Response: Denied. The terms of the agreements between Giti and Flexport were clearly set forth in the NRAs and bills of lading, which incorporated Flexport’s publicly-available published Rules tariff. Giti accepted Flexport’s terms and was well aware of the charges to be assessed and the amount of same, which were clearly set forth in the above-referenced documents.

15. Flexport’s conduct and invoices involve multiple, interrelated violations of the

Shipping Act.

Response: Denied.

A. Deficient Invoicing Under 46 U.S.C. § 41104(d)(2)

16. From June 17, 2022, through October 5, 2022, Flexport issued hundreds of invoices to Giti with detention and demurrage charges that were improperly invoiced by Flexport in violation of the Shipping Act.

Response: Denied.

17. The Shipping Act, as amended by the OSRA, at 46 U.S.C. § 41104(a)(15), requires that a “common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . invoice any party for demurrage or detention charges unless the invoice includes information as described in subsection (d) showing that such charges comply with (A) all provisions of part 545 of title 46, Code of Federal Regulations (or successor regulations); and (B) applicable provisions and regulations, including the principles of the final rule published on May 18, 2020, entitled ‘Interpretive Rule on Demurrage and Detention Under the Shipping Act.’”

Response: Admit the referenced statute provides such language in part.

18. 46 U.S.C. § 41104(d)(2) requires that an invoice for detention and demurrage charges must contain the following information:

- a. Date that the container is made available.
- b. The port of discharge.
- c. The container number or numbers.
- d. For exported shipments, the earliest return date.
- e. The allowed free time in days.
- f. The start date of free time.

- g. The end date of free time.
- h. The applicable detention or demurrage rule on which the daily rate is based.
- i. The applicable rate or rates per the applicable rule.
- j. The total amount due.
- k. The email, telephone number, or other appropriate contact information for questions or requests for mitigation of fees.
- l. A statement that the charges are consistent with any of Federal Maritime Commission rules with respect to detention and demurrage.
- m. A statement that the common carrier's performance did not cause or contribute to the underlying invoice charges.

Response: Denied as written. The statute provides that the information shall be included "unless otherwise determined by subsequent Commission rulemaking. The Commission has expressly held that the referenced information may be included in extraneous documents, such as an exhibit, attachment, or addendum.

19. Flexport's invoices to Giti were issued in violation of 46 U.S.C. § 41104(a)(15) because Flexport failed to include on the invoices the required information as delineated in 46 U.S.C. § 41104(d)(2). Consequently, the invoices lacked the necessary detail for Giti to determine the basis and validity of the individual detention and demurrage charges. The deficiencies include, but are not limited to, 46 U.S.C. § 41104(d)(2)(a), (e), (f), (g), (l), and (m).

Response: Denied. Giti was provided with all of this information, either in the invoice itself, in an addendum which was issued after the invoice was issued, or in addenda which were included with the invoice. The spreadsheet attached hereto as Flexport Exhibit "A" outlines in detail each of the invoices and how same complied with OSRA. By way of

explanation, Flexport Exhibit “A” is the same spreadsheet as Giti’s Exhibit “A”. Flexport adds column “U” to the spreadsheet which contains Flexport’s responses to each line item.

For ease of reference, Flexport has color-coded each of the entries to correspond to Flexport’s Response. There are a total of 1,628 invoices listed in the spreadsheet, which can be identified as follows:

Blue: 154 invoices for which all of the required data elements are present – as set forth in Giti Exhibit A.

Green: 825 invoices included in the OSRA Addendum, as referenced in the Amended Complaint and attached hereto as Exhibit “B”.

White: 649 invoices for which an individual OSRA addendum was included along with the invoice, which contained any and all data elements required by OSRA which were not contained in the invoice.

20. Exhibit A identifies each of the informational components required by 46 U.S.C. § 41104(d)(2) that is missing for each invoice. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit A were set forth in full herein.

Response: Denied. Giti’s Exhibit “A” includes columns L and M which are labeled “The start date of charged time” and “The end date of charged time”, respectively. Neither of these are informational components required by 46 U.S.C. § 41104(d)(2). Further, Giti’s allegation that the information is “missing” is false and misleading as same were either provided in an addendum or in the invoice itself. Further, for 154 invoices as listed on Giti’s Exhibit “A”, the spreadsheet itself provides that all required data elements are present. See attached Flexport Exhibit “A” and response

to paragraph 19 above.

21. Giti contacted Flexport to advise of the deficiencies in the above referenced invoices. Giti also requested that Flexport provide the supporting documentation for the data underlying the invoiced detention and demurrage charges so that Giti could assess the validity and accuracy of the charges.

Response: Denied.

22. Flexport refused to provide further documentation validating the invoiced charges. Instead, Flexport provided Giti with a document it called an “OSRA Addendum.” The OSRA Addendum listed a number of invoices and purported to provide the missing data required by the OSRA to be included on invoices for demurrage and detention charges.

Response: Denied that Flexport refused to provide further documentation. Admit that Flexport provided Giti with a document it called an “OSRA Addendum” and that such OSRA Addendum listed 825 invoices and provided any and all missing information required by OSRA for same. The “OSRA Addendum” referenced by Giti is attached hereto as Exhibit “B”. Flexport denies that, however, that only one OSRA Addendum was issued. Flexport in fact issued 649 individual addenda which were provided along with the invoices. A sampling of 3 of these invoices is attached hereto as Exhibit “C”. Giti’s allegation is false and misleading. See attached Flexport Exhibit “A” and response to paragraph 19 above.

23. The OSRA addendum, however, is insufficient to cure the defects. Flexport did not reissue complete invoices to Giti. The addendum is not a complete invoice and does not contain the most basic invoicing information. The addendum does not include who the charges are invoiced to, does not include an invoice issue date, does not include a payment due date, does not

include a method of payment or any payment details, does not include any bill of lading reference or shipping contract information, does not include any voyage or vessel details, and omits other necessary elements of a payable invoice. Giti is entitled to a single invoice with all relevant information regarding the shipment, the basis for the invoiced charges (including all listed items in 46 U.S.C. § 41104(d)(2)), payment instructions, etc. The OSRA Addendum is not a stand-alone invoice – it does not even provide instructions on how to pay the amount claimed to be due – and therefore does not cure the defects in the actual invoices issued by Flexport that do not meet the requirements of the Shipping Act.

Response: Flexport states the subject paragraph should be stricken as it contains 5 separate allegations. Notwithstanding Giti’s violation of Fed. R. Civ. P. 8, Flexport responds to each allegation. Flexport denies that the “OSRA Addendum” is insufficient to cure the defects. This is a purely legal conclusion without factual support and is therefore denied. Flexport admits that the OSRA Addendum is not, standing alone, a “complete invoice” but states that the OSRA Addendum, in conjunction with the referenced invoice, is complete and satisfies all of OSRA’s requirements. Flexport further states that the Commission has already affirmatively stated that such information can be provided in a separate document. As such, Giti’s contention that it is “entitled to a single invoice” is contrary to the law, common practice, and common sense. The referenced Addendum is attached hereto as Exhibit “B”. A sampling of 3 invoices which included individual addenda are attached hereto as Exhibit “C”. As can plainly be seen, the addenda contain all of the informational elements purportedly missing from the referenced invoices.

24. Further, despite repeated requests from Giti, Flexport refused to provide any data

to support the validity and source for the new information that it listed on its OSRA Addendum. Considering the passage of time and Flexport's steadfast refusal to provide any supporting documentation, Giti has no way to assess the accuracy of Flexport's charges listed in the belatedly provided OSRA Addendum.

Response: Denied.

25. In addition to other penalties, Flexport's issuance of invoices in violation of 46 U.S.C. § 41104(a)(15) triggers 46 U.S.C. § 41104(f), titled "Elimination of charge obligation," which provides that the "[f]ailure to include the information required under subsection (d) on an invoice with any demurrage or detention charge shall eliminate any obligation of the charged party to pay the applicable charge." See also 46 C.F.R. § 541.5.

Response: Denied. The Commission has expressly held that the failure to include information does not relieve a shipper of its obligation to pay the charges.

26. Flexport has issued invoices with a total of \$4,545,735 in demurrage and detention charges that lack the required information set forth in section 41104(d)(2) of the Shipping Act.

Response: Denied.

B. Unjust and Unreasonable Practices – Weekend and Holiday Detention and Demurrage

27. Flexport's actions and invoicing practices also violate the Shipping Act provisions prohibiting unjust and unreasonable practices and unreasonable charges, 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(14).

Response: The allegation is purely legal conclusion to which no response is required but is in any event denied.

28. From February 10, 2022, through December 1, 2022, Flexport issued hundreds of

invoices containing detention and demurrage charges for days on which the relevant port was closed, including holidays and weekend days, and the container could not be picked up or returned. Such charges did not incentivize the movement of containers or function to promote cargo fluidity.

Response: Flexport admits that its invoices contained detention charges for intermittent weekends and holidays when the ports may have been closed. However, Giti's own spreadsheet, attached to the Amended Complaint as Exhibit "B" clearly illustrates the utter lack of any effort by Giti to return the containers before the detention charges accrued. Giti's Exhibit "B" reflects that Giti held on to hundreds of containers for weeks or even months before returning same. All other allegations are denied.

29. The Commission has expressed that, absent extenuating circumstances, it is unreasonable and a violation of 46 U.S.C. S 41102(c) to impose charges for detention when containers cannot be returned. 46 C.F.R. § 545.5(c)(1). No extenuating circumstances are present here. Consequently, Flexport's invoicing of detention and demurrage charges for weekend and holiday days when the relevant port was closed and containers could not be picked up or returned violate the Shipping Act.

Response: Denied. The referenced section does not contain any mention whatsoever regarding the return of containers or extenuating circumstances. However, Flexport denies that no extenuating circumstances were present. Here, Giti's own spreadsheet, attached to the Amended Complaint as Exhibit "B" clearly illustrates the utter lack of any effort by Giti to return the containers before the detention charges accrued. Giti's Exhibit "B" reflects that Giti held on to hundreds of containers for weeks and months before returning same. All other allegations are

denied.

30. Exhibit B identifies each invoice that contains charges for weekend and holiday days on which the port was closed. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit B were set forth in full herein

Response: Admit that the referenced Exhibit contains charges for weekends and holidays. All other allegations are denied.

31. Giti has been invoiced by Flexport for \$4,623,095 in demurrage and detention charges for holiday and weekend days on which the designated port was not open or available to received containers.

Response: Denied. Giti was well aware of the detention charges and when the free time would expire. Giti kept the containers in its possession for weeks and months after the expiration of free time, as reflected in Giti's Exhibit "B". Having kept the containers for weeks and months after the expiration of free time, Giti's decision not to return same prior to the weekend or holiday and thereby incur detention for such time was its own free choice and Giti cannot now be heard to complain of same. To be clear, Giti's position is that, having kept hundreds of containers, thereby keeping them out of the supply chain and inhibiting freight fluidity, it should be rewarded for its actions by not being charged for the weekends and holidays during that entire time period.

32. Flexport's unreasonable invoicing for demurrage and detention charges on days when the terminal was closed occurred on a normal, customary, and continuous basis. The hundreds of invoices identified by Flexport in Exhibit B plainly evidence that such invoicing

practices of Flexport were normal, customary, and continuous.

Response: Denied.

33. In addition, Flexport issued invoices totaling \$718,485 that did not contain sufficient details, particularly dates for which detention and demurrage charges were being assessed, for Giti to even determine whether the included detention and demurrage included weekend or holiday days in violation of the Shipping Act.

Response: Denied.

34. Exhibit C identifies each invoice that contains detention and demurrage charges without sufficient information to determine whether the dates charged include weekend and holiday days on which the port was closed. That information is incorporated into this paragraph as a factual allegation of the Amended Complaint as if the information in Exhibit C were set forth in full herein.

Response: Denied. Further, each invoice identified in Giti's Exhibit C was issued prior to the effective date of OSRA.

C. Unjust and Unreasonable Practices – Duplicate Charges

35. In multiple instances, Flexport issued invoices to Giti for detention and demurrage charges for containers for which Giti already had been billed – and had paid – per diem charges by the motor carrier that handled the containers. This resulted in unjust duplicate billing of Giti for demurrage and detention charges in violation of the requirements of 46 U.S.C. §41102(c).

Response: Flexport is without knowledge of the allegations and therefore denies.

For each inland movement, Flexport retained the motor carrier and paid same. Giti was well aware that it was responsible to pay Flexport for such services and, if it

was somehow billed by the motor carrier, Giti should have advised Flexport of same. If Giti paid the motor carriers then it should pursue recovery against said motor carriers.

36. For at least 34 of Giti's containers, the VOCC invoiced the motor carrier per diem charges for containers returned after expiration of the applicable free days. Those per diem charges were passed through by motor carrier to Giti on its invoices to Giti. The charges were passed through by the motor carrier at cost, with no markup, based on the per diem charged by the VOCC, which was \$125 or \$150 per day. Giti paid the motor carrier for these per diem charges on these containers.

Response: Flexport is without knowledge of the allegations and therefore denies. See response to paragraph 35 above.

37. Separately, Flexport issued its own invoices to Giti containing per diem demurrage and detention charges for these same containers, despite the fact that the VOCC issued its per diem invoices directly to the motor carrier who, in turn, passed those charges through directly to Giti. Flexport's charging Giti for detention and demurrage charges that were separately invoiced directly to Giti by the motor carrier (passing through the VOCC charges) was unjust and unreasonable.

Response: Flexport is without knowledge of the allegations and therefore denies. See response to paragraph 35 above.

38. Moreover, Flexport inflated the per diem charges from those charged by the VOCC. The VOCC applied a per diem rate of \$125 or \$150. Flexport's detention rates ranged from \$175 to \$265 per day.

Response: Flexport denies that any charges were "inflated" and has no idea what

that term means. Flexport's detention rates are set forth in its Tariff as incorporated into the NRAs and bills of lading issued for the shipments.

39. Flexport also applied different free time allowances than those applied by the VOCC for detention charges. The VOCC typically allowed 13, 12, or 11 free days. Flexport, on the other hand, allowed only 7 free days for each of the duplicate billed containers. By comparison, the VOCC allowed 7 days of free time on only 3 containers. This resulted in Flexport charging substantially higher per diem charges because it unjustly applied detention charges for dates that were within the ocean carrier's free time.

Response: Flexport is without knowledge as to the allegations. No VOCC is identified and, as such, Flexport cannot possibly have the information necessary to deny or admit the allegations. No facts are provided in support of Giti's contention as to how any free days a particular, unnamed VOCC "typically" allowed. Flexport's detention rates and free time are set forth in its Tariff as incorporated into the NRAs and bills of lading issued for the shipments.

40. Additionally, as a result of this discrepancy in allowed free time, for at least another 15 containers, Flexport invoiced Giti for detention charges when no such charges were applied by the VOCC because they were within the allowed free time.

Response: Denied. See response to paragraphs 35 and 39 above.

41. Exhibit D identifies the motor carrier and Flexport invoices on which Giti was billed by both entities for per diem charges on the same containers. The per diem charges on the same containers for the same dates were invoiced by the VOCC, passed through the motor carrier, for a total amount of \$11,900. Per diem charges invoiced by Flexport on the same containers for the same days total \$66,675.

Response: Flexport is without knowledge as to the allegations. No motor carriers or VOCCs are identified. See response to paragraphs 35 and 39 above.

42. Flexport's repeated issuance of invoices duplicating and enhancing per diem charges previously issued by the ocean carrier and motor carrier are practices occurring on a normal, customary, and continuous basis. Giti has identified 49 instances in which Flexport invoiced for per diem charges on containers that were either previously billed to Giti by the ocean carrier and motor carrier or were still within the ocean carrier's allowed free time. These repeated violations over multiple months demonstrate that Flexport has a practice of issuing such invoices. And Giti believes there likely are additional instances in which Flexport has issued such duplicate charges that have not yet been discovered, but that would further establish the continuous nature of Flexport's unjust practices.

Response: Denied. See response to paragraphs 35 and 39 above.

D. Unjust and Unreasonable Practices – Excessive Accessorial Charges

43. Many of the accessorial charges invoiced by Flexport to Giti were excessive in quantum. Flexport's charges in many instances were four or five times the market rate for equivalent services. Such extreme pricing constitutes unjust and unreasonable practices in violation of 46 U.S.C. § 41102(c).

Response: Denied. Flexport's charges and rates are set forth in its Rules Tariff as incorporated into the NRAs and bills of lading issued for the shipments. Flexport further denies that the charges were in excess of the "market rate". In fact, as set forth in publicly-available Rules Tariffs, Flexport's rates were in line with, or lower than, its largest NVOCC competitors.

44. Flexport regularly applied rates for accessorial charges far in excess of market rates. Based on Giti's review of its charges from other providers, Flexport's charges exceeded the market rates by as much as 460%. For example, the detention and demurrage charges invoiced by Flexport on the invoices identified in Exhibit D were 460% more than those invoiced by the VOCC. Similarly, a review of invoices from other providers show that Flexport's assessed charges far exceed market rates for storage, detention, and demurrage fees.

Response: Denied. Flexport's charges and rates are set forth in its Tariff as incorporated into the NRAs and bills of lading issued for the shipments. No VOCC is named and there is no factual support for the allegations. Flexport further denies that the charges were in excess of the "market rate". In fact, as set forth in publicly-available Rules Tariffs, Flexport's rates were in line with, or lower than, its largest NVOCC competitors.

45. Excessive and unreasonable demurrage, detention, storage, and other accessorial charges invoiced by Flexport in violation of the Shipping Act total \$7,204,243.

Response: Denied. Flexport's charges and rates are set forth in its Rules Tariff as incorporated into the NRAs and bills of lading issued for the shipments.

46. The excessive fees charged by Flexport have been applied on a normal, customary, and continuous basis. They have been repeatedly included on the hundreds of invoices issued by Flexport to Giti over the course of the entire period addressed in this complaint. The hundreds of invoices issued to Giti show that this was part of Flexport's standard invoicing procedures and part of its normal and habitual practices.

Response: Denied. Flexport's charges and rates are set forth in its Rules Tariff as incorporated into the NRAs and bills of lading issued for the shipments.

V. CAUSATION

47. As a result of Flexport's above detailed violations of the Shipping Act, Giti has paid and has been invoiced for millions of dollars of improper detention and demurrage and other accessorial charges.

Response: Denied.

VI. DAMAGES

48. Giti has been invoiced by Flexport for \$5,341,580 in demurrage and detention charges for holiday and weekend days on which the designated port was not open or available to received containers.

Response: Denied.

49. Flexport has issued invoices with a total of \$4,545,735 for demurrage and detention charges that lack the required information set forth in section 41104(d)(2) of the Shipping Act.

Response: Denied.

50. Flexport has issued invoices with \$7,204,243 excessive accessorial charges that are excessive and unreasonable in violation of the Shipping Act

Response: Denied.

51. Flexport has issued Giti invoices with over \$66,675 in duplicate charges that were also invoiced by a motor carrier or other party in addition to Flexport. The total sum of duplicate charges likely is significantly higher, but Flexport has refused to provide any of the supporting documentation underlying its invoices to Giti. That documentation likely will reveal additional instances in which Flexport issued invoices for the same charges that were invoiced to Giti by

other ocean or motor carriers.

Response: Denied.

52. Some of Flexport's invoices contain charges that violate the Shipping Act for multiple of the reasons set forth in paragraphs 48-51 above. Accordingly, those invoiced charges are included in the totals for multiple of the categories. However, Giti does not seek double recovery for any invoiced charges.

Response: Denied. Further, Giti does not identify which invoices violated the Shipping Act for "multiple reasons" and, as such, Flexport has no idea how much Giti's claims are for.

53. Giti has attempted to resolve this dispute directly with Flexport prior to filing this Verified Complaint. Giti engaged in numerous discussions with Flexport regarding Giti's claims, but Flexport was unreceptive to adjustment of its invoices to account for the above detailed Shipping Act violations. Thus the discussions were unsuccessful in resolving the dispute.

Response: Denied that Giti made any good faith effort to resolve this dispute with Flexport prior to filing this Verified Complaint.

VII. REQUEST FOR RELIEF

54. Giti respectfully requests that Flexport be required to answer the charges made in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- a) Finding Flexport to have violated 46 U.S.C. § 41104 and 46 U.S.C. § 41102;
- b) Refunding Giti and/or eliminating the payment obligation of Giti for the non-compliant invoices and charges issued by Flexport as set forth above;
- c) Requiring Flexport to pay Giti reparations for the unlawful conduct described above,

together with interest and Giti's attorney's fees and costs as described in 46 U.S.C. §41305; and

d) Such other and further relief as the FMC determines to be just and proper.

Response: Giti's deliberate actions in not returning containers directly resulted in the imposition of detention charges, the amount of which Giti was well aware. Giti was well aware how much would be charged and for what days they would be charged. With this knowledge in hand, Giti held onto containers for weeks and months and now complains that it should not be responsible for any detention charges. Giti's claims have no basis in either law or fact and are presented before the FMC in a misleading and outright falsified manner. Flexport is entitled to judgment in its favor and for an award of attorney's fees and costs incurred in defending this action.

VIII. REQUEST FOR ORAL HEARING

55. Giti requests a hearing on this matter, and further requests that the hearing be held in at the Commission's regional office or other appropriate location in Los Angeles, California.

Response: Flexport does not believe a hearing is warranted but, if any such hearing occurred, same should take place before the Commission in Washington, D.C.

AFFIRMATIVE DEFENSES

1. The Commission lacks subject matter jurisdiction.
2. The Amended Complaint fails to state a claim for which relief may be granted.
3. The claims are barred in whole or in part by the statute of limitations.
4. The claims are barred in whole or in part to the extent same seeks recovery under the Ocean Shipping Reform Act for acts or omissions that are alleged to have occurred prior to the passage of same
5. Complainant is not entitled to reparations because it has suffered no harm.
6. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of the motor carrier(s), ocean carriers, terminal operators, warehousemen, rail carriers and/or the cargo interest(s).
7. Any demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of Giti.
8. The claims are barred by the doctrines of waiver and estoppel.
9. Respondent claims the right of setoff.
10. Respondent's conduct was reasonable in light of the totality of the circumstances.
11. Claimant's claims are barred by unclean hands and/or illegality.
12. Respondent reserves its right to modify and assert additional affirmative defenses which it deems necessary to its defense during or upon the conclusion of investigation and discovery.

Dated: October 2, 2024

Respectfully submitted,

SPECTOR RUBIN, P.A.

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***Counsel for Respondent,
Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on October 2, 2024 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.

VERIFICATION

I, Steve Lee, Senior Vice President, hereby declares and attests under penalty of perjury that I have read the foregoing Answer and believe, to the best of my knowledge, information and belief that the facts stated therein are true and correct.

Dated:

OCT, 2nd, 2024


